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APAC Commodities Specialist Sales Commentary
Energy * Mining * Materials * Renewables

JPM | CHINA SUMMIT: Day 2 Wrap - No Sulfur or Diesel Shortages, Stark Aluminum Dislocation, Trouble in Mali, Indonesia's latest shocker, ESS Cost Pressures

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Good morning, Day 2 of China Summit wraps up with some very interesting conversations with investors & corporates. Kicking off with investor sentiment, focus continued today drastic underperformance from Chinese miners YTD. Several investors pointed out that the China investor base is much more Macro & Quant driven relative to other APAC countries - and thus arerightly repricing risks for higher rates & inflation much quicker (like they did when Powell turned Dovish last July). A large camp, however, was MUCH more constructive, arguing multiples are now very reasonable for some very healthy growth companies - and looking to add positions across the commodities space in China. JPM's China Mining analyst Avery has had his busiest China Summit schedule in YEARS, Parsley obviously booked out and even this humble spec has had investor meetings well in the double digits - so the interest is undoubtedly there.

Full thoughts below, Onwards & upwards to day 3.

Key Highlights from Day 2

1. **NO SULPHUR OR DIESEL SHORTAGE**: Key Takes from CMOC Meeting
2. **ALUMINUM**: Bullish Takes from China Hongqiao Meeting
3. **COST PRESSURES & ESS IRRs**: Key Takes from Auto, Battery & ESS Meetings (Joann Kim, attached)
4. **INVESTOR INBOUNDS**: Zijin/Allied trouble in Mali, Indo's dramatic policy changes & Chemicals Capex

Quotable Quotes

*"Passing on a decent Uranium asset is like leaving an ex-girlfriend. When she ends up with someone else, you realize maybe you guys were good together" - **Uranium Miner**, when discussing M&A opportunities*

*"The Aussies think DRC will run out of sulfur, while the Chinese think Aussies will run out of diesel. In the end, nobody is going to run out of anything - just end up paying more" -**LO investor,** discussing shortages*

*"It took us 2.5 years to bring on a 1Mt Alumina refinery in Indonesia, so lets see how smelters bring on 2Mt of Aluminum in 1 year without power capacity" - **China Hongqiao**, when discussing Indonesian planned Aluminum ramp*

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NO SULPHUR OR DIESEL SHORTAGE: Key Takes from CMOC Meeting

The CMOC meeting was dominated by 1) Questions around Sulfur & Diesel availability 2) Suitability of DRC as a mining jurisdiction & 3) M&A Ambitions .

My biggest take was from the meeting was that the **DRC is NOT short sulfuric acid**. Most miners in region have their own acid plants and inventories well stocked into Q3. CMOC also clarified there is ***no real diesel shortage*** issue as long as you're willing to pay up but that both sulfur and diesel will be cost pressures - Sulfuric acid going from 10% of cash costs to 20%; Diesel going from LSD% to HSD%.

The DRC Risk was squarely in focus - Windfall taxes of 50% above $11,500 LME will blunt income in 2027, local employee stake is mildly dilutive, and cobalt quotas now firmly in place. Investors were concerned with the DRC's recent US friendly policy stance, which could limit further expansion in country.

The company continues to remain on track for its 790kt copper guidance for 2026 and its 800kt-1Mt 2028 guidance through TFM/KFM expansions. Cobalt prices are not seeing demand destruction at this stage from customers, and company laid out ambitions to have *Copper & Gold as its two strategic pillars* of its M&A strategy, and its notable to see their other divisions printing strong cash - CMOC is not seeing any demand destruction at current cobalt prices from its customers. It's worth noting that their tungsten assets will continue to offer stable production (despite export bans and high prices).

ALUMINUM: Bullish Takes from China Hongqiao Meeting

Arguably the most bullish meeting from yesterday was with Hongqiao who see Aluminum prices moving higher even higher from here and ***remaining elevated for 12-18 months***. Investors focused how critically tight the LME was starting to look - (only 300kt of inventories left with about 200kt being Russian) compared to Chinese inventories at 1.4-1.5kt.

Hongqiao argues that its only a matter of time before the China Aluminum exports draw down local inventories and given the 550kt monthly export run rate, they expect impact to start showing in 1-2 months. LME + Rotterdam premium remains notably higher than SHFE and Hongqiao notes that they are seeing *no demand destruction*at this stage from customers. **On Aluminum S/D** - Hongqiao sees net supply reductions over the next 1-2 years with low risks of Indonesian supply disrupting markets in the next 12-18 months - citing limited power capacity and their own experience bringing Alumina projects online which took 2.5 years. China's 45Mt capacity target came into question too given the higher production run rate but Hongqiao believes that its very unlikely this gets breached.

Company specific, **Hongqiao has now bought $5.2B HKD worth of shares YTD** (most recently in may) and will continue to stabilize their share price to protect investors. Investor focus here was around the 2 recent Convertible bond issuances which seemed dilutive, but company explained the raises were for cash management to secure alumina investments/bauxite procurements in guinea given the 6 month lead times to move capital offshore. Capital management includes using FCF to invest in more renewable energy projects, and proactively return capital to shareholders through SBB + dividends. Company is looking to increase bauxite inventories from 7 to 10 months going forward.

INVESTOR INBOUNDS: Zijin/Allied trouble in Mali, Indo's dramatic policy changes & Chemicals Capex

In terms of inbounds, my morning was flooded with questions on 1) **ZIJIN/ALLIED GOLD** (AAUC -10% at one point) where reportedly 9 Chinese employees abducted yesterday by gunmen at an allied gold mining site in Mali, as the situation in country worsens. This coupled with rumors that Zijin has not received NDRC approval for the acquisition, has investors concerned that they may not easily meet output targets. We have Zijin at our conference today. 2) **CHEMICALS**: My comments yesterday on Petrochina Chems Capex going full steam ahead received a lot of attention, and it is worth clarifying that whilst Petrochina is material in ethylene additions, they have always been profitable given Ethane feedstock & the REAL WATCHPOINT IS SINOPEC - which is the largest incremental capacity, has been losing money in chems for 4 years & is unfortunately not at our conference. JPM has China Chemicals Capex -10% y/y in 2026. 3) **INDONESIA**: Which has launched yet another drastic policy - (after quota cuts, mine seizures, Higher Royalty rates, export tariffs & now requiring all Coal, Palm Oil & Ferro Alloy (nickel) exports to go through a central SOE Entity; including paperwork, sales and purchases agreements, customers & payments. Indonesia's stock market (JCI) was *down 4% yesterday and -34%ytd*, and this has now introduced fresh uncertainty over implementation mechanism and any LO investments in the miners.

Sector Newsflow

China Fills Steel Gap Created by Crippling of Iran's Industry (Bloomberg)

India OMCs face heat from crude surge, after inventory-led March-quarter earnings beat (MINT); Oil companies assure uninterrupted fuel supply

India's looming iron ore challenge has Australian miners dreaming (AFR)

Thailand Relaxes Jet Fuel Export Ban to Reduce Stockpiles (Bloomberg)

Indonesia Subjects Only Secondary Processed Goods to Export Body (Bloomberg)

Arafura Rare Earths Ltd. Gives Go-Ahead for Massive Project (Bloomberg)

Northern Star CEO Tonkin to Step Down After a Decade at Helm (Bloomberg)

Petro China: Deep under China's coal basins, PetroChina is unlocking gas from rocks (Reuters)

Grenergy taps CATL to supply 1.5 GWh of batteries for Spanish projects (Renewables Now)

Putailai New Energy to Build Battery Separator Project for 5.6 Billion Yuan (MT Newswires)

Inpex takes stake in Australia's Browse gas fields (NewsBase)

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PetronasChemicals posts sharp rise in quarterly profit (Reuters)

Full Research Links

Sector Note:

- **China Basic Materials -**Apr 26 NBS data: Weakening domestic demand to be partially offset by exports; macro and supply are stronger short-term drivers- Avery Chan (Link)
- **Commodity Market Positioning & Flows -** Aggregate net length approaches 2022 highs- Otar Dgebuadze (Link)
- **Oil Flash Note -**Port Authority- Natasha Kaneva (Link)
- **Spot Scenarios -**Gold equities continue to screen with MTM downgrades; Lithium & copper remain leaders- Lyndon Fagan (Link)
- **JPM OFS and Equipment -**Weekly Insights & Analytics: Riding the Subsea Opportunity Wave- Arun Jayaram (Link)
- **North America Steel -**Steel Expert Call Takeaways & Updated JPM S&D Balances Point to US Steel Sector's Structurally Higher Earnings Power and Relative Safe Haven Status- Bill Peterson (Link)

Company Note:

- **Indraprastha Gas Ltd. (IGL IN)-**Cost pressures can continue near term- Sanjay Mookim (Link)
- **Indian Oil Corporation (IOCL IN)-** Strong 4Q - Greater refining exposure could help IOC do better than peers- Sanjay Mookim (Link)
- **Bharat Petroleum Corporation (BPCL IN) -** First Take: 4QFY26 - a beat marred by impairment losses on BPRL- Sanjay Mookim (Link)
- **Antero (AR US)-**Model Update- Arun Jayaram (Link)
- **Baker Hughes (BKR US)-**Global Gas Turbine Market Share Analysis: BKR Secures Record 1Q26 Gas Turbine Orders with NovaLT Platform Driving Market Share Gains- Arun Jayaram (Link)
- **JPM U.S. Shale DUC Tracker -** DUC Analysis by Operator and Basin- Arun Jayaram (Link)
- **Agnico Eagle Mines (AEM US)-**First Take: Hope Bay FID Key Pillar Towards 20-30% Growth Outlook With Longer-Term Exploration Potential- Bennett Moore (Link)
- **ArcelorMittal (MT NA)-**~$667m Vallourec stake sale will be recycled into MT share buyback, reduces M&A debate & overhang- Dominic O'Kane (Link)

Save the Date: JPM Energy & Materials Events

Corporate Access

Title	Speaker	Format	Date/Time (HKT)	Registration
The Southern Company (SO US)	IR	Virtual	May-21 (Thu) 8:30 HKT	Register Here
Enbridge Inc (ENB CN)	IR Team	Virtual	Jun-3 (Wed) 8:30 HKT	Register Here
The Williams Companies, Inc. (WMB US) Only Los	President & CEO	Sydney	Jun-29-30 (Mon-Tue)	

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Conferences & Forums

Title	Format	Date/Time (HKT)
J.P. Morgan Global China Summit	Shanghai	May-20-22 (Wed-Fri)
Indonesia Forum	Jakarta	Sep-2-3 (Wed-Thu)
India Conference	Mumbai	Sep-21-22 (Mon-Tue)

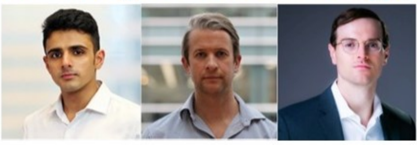
Doko Shuzai (JPM Analyst-led coverage company meetings)

Date	Time & Language		Company	Host	Location	Registration
Thu 21 May	13:00-14:30 JST	J	ASAHI KASEI CORP (3407 JP)	Yasuhiro Nakada	Zoom	Click
Fri 22 May	10:00-11:00 JST	J	NIPPON PAINT HOL (4612 JP)	Yasuhiro Nakada	Zoom	Click
Tue 26 May	13:00-14:30 JST	J	MITSUBISHI CHEMI (4188 JP)	Yasuhiro Nakada	Zoom	Click
Tue 26 May	15:00-16:30 JST	J	TORAY INDUSTRIES (3402 JP)	Yasuhiro Nakada	Zoom	Click

Catalyst Calendar

Date	Cement	Chemicals	Metals & Mining	Oil & Gas	Renewables	Macro
05/19	Home Depot Q1 (18:00)	Covestro AGM (16:00)	China Hongqiao - H AGM (09:00) Fresnillo AGM (19:00)	Indian Oil Corporation FY (00:12) Bharat Petroleum Corporation (BPCL) FY Shell AGM (18:00)		
05/20			Ganfeng Lithium – A AGM (14:00) Tianqi Lithium – A AGM (14:30)	Halliburton AGM (22:00) Diamondback Energy AGM (23:00)	Mingyang - A AGM (15:00) Array Technologies AGM (01:00)	
05/21	Indocement AGM (10:30) Home Depot AGM (21:00)		SGH Ltd Investor Day (08:00) Reliance Steel and Aluminum AGM (01:00) Constellium AGM (22:00) Royal Gold AGM (23:00)	Karoon Energy AGM (08:00) Viva Energy AGM (12:30)	Wuxi Lead AGM (14:00)	IN - HSBC India PMI Mfg (13:00) US - S&P Global US Manufacturing PMI (21:45) US - EIA Natural Gas Storage Change (22:30)
05/22		LyondellBasell AGM (14:00)	Hindalco Industries FY Hecla Mining AGM (01:00)	Sinopec Oilfield Service Corp - A AGM (09:00) Sinopec Oilfield Service Corp - A A Shareholders Class Meeting (10:00) COSL - A AGM (10:00) Sinopec Oilfield Service Corp - A H Shareholders Class Meeting (10:15)	Bloom Energy AGM (00:00)	US - U. of Mich. Sentiment (22:00)

J.P. Morgan Global Energy, Mining & Materials Contacts



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